

FixKart® — Master Business, Operations & Financial Report

A Full-Stack Repair-Commerce Marketplace Unifying Spare Parts Supply & Master Doorstep Technicians

EXECUTIVE SUMMARY: FixKart solves the **\$28.5 Billion** unorganized repair market in India. By merging **instant optical/symptom diagnosis**, **verified triple-tier spare parts commerce (18–35% margin)**, and **vett ed doorstep master technicians (35-min ETA)** backed by a **90-Day Digital Repair Passport™**, FixKart turns an uncertain, frustrating consumer experience into a standardized 1-click transaction. This report outlines the business architecture, supply chain dark-hubs, technician fleet operations, unit economics (**CM1: +17.5%**), 3-year financial model (**₹705 Cr GMV**), and the **\$1.5M Seed Funding Roadmap**.

1. Market Opportunity & Problem Statement

The Indian Market Reality: India has over **340 Million** active major home appliances, consumer tech devices, and commuter two-wheelers. Yet, post-warranty maintenance is completely broken across 5 friction points:

- **Uncertain Diagnosis:** Consumers don't know what component has failed or what it should fairly cost.
- **Gray-Market Spares:** High counterfeit rates (up to 42% in local electronics markets) lead to repeated breakdowns.
- **Technician Downtime:** Independent mechanics spend 40% of their working hours hunting for parts in wholesale hubs.
- **Price Gouging:** Unregulated labor and part charges create zero consumer trust.
- **Zero Warranty:** Post-fix repairs have no accountability or warranty paper trail.

FixKart's Unified Protocol: [Broken Device] ➡ [AI/Tech Diagnosis] ➡ [Guaranteed Spares] ➡ [Master Tech in 35m] ➡ [90-Day Digital Passport]

2. How the Business Operates (End-to-End Operating Blueprint)

A. The Customer Journey & Conversion Flow:

- 1. Visual & Photo Diagnosis:** Customer selects their appliance (Washing Machine, AC, TV, Fridge, Scooter) and picks visual symptom cards or uploads a photo. The AI computer vision identifies the component failure.
- 2. Transparent Quote:** Displays side-by-side options: *OEM Genuine* vs *Certified Compatible* vs *Value Economy* with exact labor fee (+₹349) and **90-Day Guarantee**.
- 3. Doorstep Mechanic Dispatch:** For users who cannot self-diagnose, a 1-click **₹199 Direct Diagnostic Inspection** sends a master tech with testing tools in 35 mins.
- 4. Pay-After-Fix:** Customer inspects the completed repair and pays via UPI/Cash only after full functional verification.

B. Hyperlocal 2-Hour Spares 'Dark-Hub' Network:

FixKart establishes 1,500 sq.ft micro-fulfillment centers in strategic urban clusters (e.g., Peenya & Whitefield in Bengaluru, Andheri & Powai in Mumbai, Okhla in Delhi). Each Dark Hub stocks the top **450 high-velocity SKUs** (capacitors, drain pumps, valves, relays, control boards, brake pads). When an order is placed, a quick-commerce runner delivers the verified part directly to the technician at the customer's doorstep within 30 minutes, eliminating technician travel downtime entirely.

C. Master Technician Fleet Management:

Technicians are onboarded as micro-entrepreneurs after undergoing skill evaluations, criminal background verification, and brand certifications. FixKart equips them with standardized digital multimeters, toolkits, and safety gear. Technicians earn **₹35,000–₹55,000/month** by focusing 100% of their working hours on billable repairs. If an additional part is needed on-site, the technician submits a digital request in their app, triggering an instant transparent approval prompt on the customer's phone.

D. Digital Repair Passport™ & 90-Day Guarantee Vault:

Every repair generates a tamper-proof cryptographic certificate containing timestamped before/after photos, technician license ID, and part serial batch hashes. Backed by a dedicated **3.5% Warranty Reserve Fund**, customer warranty claims receive 1-click ■0 re-fix priority dispatch. This documented repair history boosts device resale value on secondary platforms (Cashify, OLX).

3. Monetization Architecture (6 Scalable Revenue Streams)

FixKart captures high-margin revenue across every layer of the repair-commerce ecosystem:

Revenue Stream	Operating Model & Customer Value	Platform Take Rate / Margin
1. Spare Parts Marketplace	Bulk procurement from Tier-1 OEM & certified aftermarket manufacturers sold via triple-tier catalog.	18% – 35% Gross Margin (OEM: ~20%, Certified: ~28%, Economy: ~35%)
2. Labor & Installation Commission	Platform take rate charged on technician doorstep installation fees.	15% – 20% Platform Fee (Tech retains 80–85%)
3. Doorstep Diagnostic Fee	■199 upfront physical inspection fee for un-diagnosed devices (82% convert to full repair order).	■59 Net Retention / order (■140 paid to technician)
4. FixKart Care+ AMC Subscriptions	Annual Maintenance Contracts covering single appliances (■999/yr) or whole-home bundles (■2,499/yr).	■999 – ■2,499 / Year (72% Gross Margin)
5. Dark-Hub Warehousing & Fulfillment	Suppliers pay micro-fulfillment storage, handling, and pick-pack dispatch fees per SKU.	■40 – ■75 / SKU dispatched from urban Dark Hubs
6. B2B OEM Enterprise Network	Appliance brands (Voltas, IFB, LG, Daikin) outsource out-of-warranty service tickets to FixKart.	■350 – ■600 / Service Ticket SLA execution fee

4. Unit Economics & Customer Lifetime Value (LTV / CAC)

Detailed per-order breakdown for an average transaction (Washing Machine Drain Pump Replacement):

Order Line Item	Gross Amount (■)	FixKart Realization	Financial Classification
OEM Genuine Spare Part	■1,499	■379 Net Margin	25.3% Gross Margin
Doorstep Installation Labor	■349	■69 Platform Fee	19.8% Labor Take Rate
Platform Convenience Fee	■49	■49 Revenue	100% Platform Revenue
Gross Merchandise Value (GMV)	■1,897	■497 Net Revenue	26.2% Platform Margin
Less: 2-Hr Quick Spares Delivery	(■65)	Paid to 3PL Fleet	Direct Logistics COGS
Less: Payment Gateway (1.8%)	(■34)	UPI / Card Processing	Direct COGS
Less: 90-Day Warranty Reserve (3.5%)	(■66)	Actuarial Guarantee Fund	Risk Escrow Reserve
Net Contribution Margin (CM1)	—	+■332 Net Cashflow	+17.5% CM1 Margin
Less: Blended CAC (First Order)	(■185)	Meta / WhatsApp Funnel	Customer Acquisition Cost
Net Profit on First Order (CM2)	—	+■147 Net Profit	Net Positive on Day 1

Customer Lifetime Value (LTV) Metrics (36 Months):

- **Appliance Density:** 4.2 repairable appliances per Indian urban household.
- **Repair Frequency:** 1.6 repairs per household annually.
- **Customer 12-Month Retention Rate:** 38.4% (driven by Digital Passports & AMC reminders).
- **3-Year Cumulative Customer LTV:** ■1,280 | LTV : CAC Ratio: 6.9x | CAC Payback: 1.2 orders (~3.5 months).

5. 3-Year Pro-Forma Income Statement (P&L; Forecast)

Detailed financial model demonstrating scale, operating leverage, and path to profitability (All figures in ■ INR Crores):

Line Item / Operating Metric	Year 1 (BLR + BOM)	Year 2 (6 Metros)	Year 3 (18 Cities)
Monthly Repairs (Run-Rate)	12,500 / mo	65,000 / mo	280,000 / mo
Active Master Technicians	450	2,200	9,500
Active Urban Dark Hubs	8 Hubs	32 Hubs	110 Hubs
Gross Merchandise Value (GMV)	■31.50 Cr (\$3.8M)	■164.20 Cr (\$19.8M)	■705.60 Cr (\$85.0M)
Spare Parts Marketplace Margin	■4.25 Cr	■22.17 Cr	■95.25 Cr
Labor & Installation Take Rate	■1.89 Cr	■9.85 Cr	■42.34 Cr
Diagnostic Fees & Subscriptions	■0.76 Cr	■4.08 Cr	■17.61 Cr
Total Net Platform Revenue	■6.90 Cr	■36.10 Cr	■155.20 Cr
Direct Logistics & Gateway COGS	(■1.54 Cr)	(■8.02 Cr)	(■34.54 Cr)
90-Day Warranty Reserve (3.5%)	(■1.10 Cr)	(■5.75 Cr)	(■24.70 Cr)
Gross Profit (Margin %)	■4.26 Cr (61.7%)	■22.33 Cr (61.9%)	■95.96 Cr (61.8%)
Performance Marketing & User CAC	(■2.10 Cr)	(■7.80 Cr)	(■26.50 Cr)
Tech, Product & AI Diagnostic Vision	(■1.60 Cr)	(■4.20 Cr)	(■12.00 Cr)
Field Ops, Dark Hub Leases & Fleet	(■1.38 Cr)	(■5.90 Cr)	(■23.30 Cr)
G&A, Legal, Admin & Support Desk	(■1.00 Cr)	(■3.75 Cr)	(■13.70 Cr)
Total Operating Expenses (OpEx)	(■6.08 Cr)	(■21.65 Cr)	(■75.50 Cr)
EBITDA (Margin %)	(■1.82 Cr) [-26.4%]	+■0.68 Cr [+1.9%]	+■20.46 Cr [+13.2%]
Depreciation & Financing Costs	(■0.25 Cr)	(■0.85 Cr)	(■2.40 Cr)
Net Profit Before Tax (PBT)	(■2.07 Cr)	(■0.17 Cr)	+■18.06 Cr

6. Future Capital Requirements & Funding Roadmap

FixKart scales rapidly across 3 strategic funding milestones totaling \$9.5M – \$11.5M over 36 months:

Funding Round	Target Capital	Operational Milestones	Use of Funds Allocation
SEED STAGE (Immediate Need)	\$1.50 Million (■12.50 Crores)	8 Dark Hubs in Bengaluru & Mumbai 450 Master Technicians 12,500 repairs/month ■31.5 Cr GMV run-rate	32% (■4.0 Cr) Dark Hubs & Inventory 28% (■3.5 Cr) Marketing & CAC 20% (■2.5 Cr) Tech & App Build 12% (■1.5 Cr) Tech Kits & Safety 8% (■1.0 Cr) Working Capital
SERIES A (Month 18)	\$8.00 Million (■66.40 Crores)	32 Dark Hubs in 6 Metros 2,200 Master Technicians ■164 Cr GMV run-rate - Company-wide EBITDA Breakeven	35% 6-Metro Dark Hub Scale 25% Brand Campaigns & Funnels 20% OEM Enterprise Integrations 20% Inventory Credit Facility
SERIES B (Month 36)	\$20.00 Million (■166.0 Crores)	110 Dark Hubs in 18 Cities 9,500 Master Technicians ■705 Cr (\$85M) GMV ■20.5 Cr Net Annual EBITDA	- Private-label Spares (45%+ margin) - Predictive IoT Diagnostic Hardware - Pan-India B2B OEM Service Network

7. Strategic Moats & Defensibility

- 1. Proprietary Compatibility Engine:** A relational graph mapping 50,000+ appliance models to exact component SKUs prevents wrong-part returns.
- 2. Combined Spares + Labor Flywheel:** Spares marketplaces fail because consumers cannot install parts; labor apps fail because technicians lack parts. FixKart combines both seamlessly.
- 3. 30-Min Urban Dark Hub Infrastructure:** Hyperlocal proximity creates insurmountable speed and SLA moats for competitors.
- 4. Digital Repair Passport™ Lock-In:** Creates long-term customer appliance history, raising retention to 38.4% and powering secondary market device trade-ins.